25NWLC42383 25NWLC42383

County: los-angeles

Division: Civil Law and Motion

Department: Z

Hearing date: 2026-08-05

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Case Number: 25NWLC42383 Hearing Date: August 5, 2026 Dept: Z

BACKGROUND

On July 30, 2025, Plaintiff Wells Fargo Bank N.A. (“Plaintiff”) filed this breach of contract action against Defendant Anthony U Alcaraz (“Defendant”). On August 26, 2025 Plaintiff filed Proof of Service of Summons and Complaint alleging personal service on August 13, 2025 by a registered process server signed under penalty of perjury. On September 19, 2025 Defendant filed an Answer to the Complaint.

On November 14, 2025 Plaintiff filed Notice of Motion and Motion for Summary Judgment. The Court has read and reviewed the moving papers filed by Plaintiff Wells Fargo Bank NA (“Plaintiff”) and the opposing papers filed by Defendant Anthony U Alcaraz (“Defendant”). The Court takes judicial notice of the Complaint filed July 30, 2025 and the attached Consumer Credit Customer Agreement and Disclosure Statement (“Agreement”).

Defendant raised the issue of Arbitration in Defendant’s Opposition to Plaintiff’s Motion for Summary Judgment (“Opposition”), filed on February 17, 2026. The Opposition states, “Finally, Defendant invokes Defendant’s right to resolve this matter through Arbitration instead of through the civil court process pursuant to the alleged agreement between the parties.” (Opposition, pg. 2, L14-16). The Opposition also argues against Plaintiff’s Motion arguing that there are multiple triable issues in the case. Defendant filed a Declaration in Support of Opposition to Plaintiff’s Motion for Summary

Judgment. The issue of arbitration is not discussed in the Defendant's Declaration or the Answer.

ARBITRATION

Code of Civil Procedure § 1281.2 provides that a court shall order arbitration if it determines that an agreement to arbitrate exists and that a party to the agreement refuses to arbitrate. Once arbitration is compelled, the court must stay the action pending the outcome of the arbitration pursuant to Code of Civil Procedure § 1281.4.

The Agreement includes the following Arbitration Notice:

"6. Dispute Resolution Program: Arbitration Agreement

a.

Binding Arbitration. You and Wells Fargo Bank, N.A. (the "Bank") Agree that if a Dispute arises between you and the Bank, upon demand by either you or the Bank, the Dispute shall be resolved by the following arbitration process. The foregoing notwithstanding, the Bank shall not initiate an arbitration to collect a consumer debt, but reserves the right to arbitrate all other disputes with its consumer customers."

The Agreement further states as follows:

"b. Arbitration Procedure; Severability. Either you or the Bank may submit a Dispute to binding arbitration at any time notwithstanding that a lawsuit or other proceeding has been previously commenced."

Plaintiff's Motion for Summary Judgment was noticed for hearing on February 25, 2026. On February 25, 2026, Counsel for Defendant was present, and Counsel for Plaintiff was present. The Court noted the language in the Opposition regarding arbitration and continued the hearing to allow Defendant time to pursue arbitration. The hearing on Plaintiff's Motion for Summary Judgment was continued to May 29, 2026.

On May 29, 2026, Counsel for Defendant was present, and Counsel for Plaintiff was present. Counsel for Defendant did not know if arbitration had been initiated. The Court continued the hearing again to

allow Defendant time to pursue arbitration.
The hearing on Plaintiff's Motion for Summary Judgment was continued to August 5, 2026.

Defendant did not raise the issue of arbitration in the Answer. Defendant has not filed a Motion to Compel Arbitration pursuant to Civ. Proc. § 1281.2 and 128.4.

In determining arbitration waiver, a court can consider "(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether 'the litigation machinery has been substantially invoked" and the parties "were well into preparation of a lawsuit" before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim asking for a stay of the proceedings; (5) "whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place"; and (6) whether the delay "affected, misled, or prejudiced" the opposing party." (Sobremonte v. Superior Court (1998) 61Cal.App.4th 980 at p. 992 quoting Peterson v. Shearson/American Exp., Inc. (1988) 849 F.2d 464.)

The Court having considered all the facts and circumstances finds that Defendant unreasonably delayed the demand for arbitration, engaged in litigation conduct inconsistent with an intent to arbitrate, and prejudiced the plaintiffs by causing them to incur costs and attorney fees, and lose the benefits of arbitration. The Court finds that Defendant has waived its right to enforce the arbitration provision.

MOTION FOR SUMMARY JUDGMENT

Background

The Complaint alleges two causes of action: breach of written contract and breach of implied-in-fact contract. Plaintiff alleges that credit was extended to Defendant through a credit card.
Plaintiff alleges that Defendant used the card to purchase goods, services, and/or cash advances.
Plaintiff alleges that Defendant failed to make payments on the account.

Plaintiff's Motion for Summary Judgment includes the following documents: 1) Notice of Motion and Motion for Summary Judgment, 2) Declaration of Edgar B. Lopez, 3) Separate Statement of Undisputed Material Facts ("UMF"), 4) Declaration of Plaintiff's Qualified Witness, and 5) Notice of Lodging of Proposed Order.

Defendant filed an Opposition to Plaintiff's Motion for Summary Judgment, Separate Statement of Disputed Material Facts ("DMF"), and Declaration in Support of Opposition by Anthony U Alcaraz (Alcaraz Dec.).

Plaintiff filed a Reply to Defendant's Opposition.

Defendant's Evidentiary Objections

Written objections must be served and field separately from papers supporting or opposing the motion. (CRC rule 3.1354(b); Hodjat v. State Farm Mutual Automobile Ins. Co. (2012) 211 CA4th 1.) Written objections must follow one of two formats set forth in CRC 3.1354(b): (1) each item of evidence objected to in one paragraph, followed by a paragraph stating the objection; (2) each item of evidence objected to in one column and the objection in an adjacent column. A proposed order must be submitted with the written objections with space for the court to indicate its ruling on each objection and a place for the judicial officer's signature. (CRC rule 3.1354(c).)

Defendant did not follow either format outlined in CRC rule 3.1354(b), and did not submit a proposed order pursuant to CRC 3.1354(c).

In Defendant's Opposition paperwork, Defendant offers the following objections to the computer records: authentication, lack of personal knowledge, and hearsay. The Court is considering those objections for both Exhibits 1 and 2 attached to Plaintiff's Declaration of Qualified Witness.

The objections are OVERRULED.

Legal Standard

The purpose of a motion for summary judgment "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (Aguilar v. Atlantic v. Richfield Co. (2001) 25 Cal.4th 826, 843.) "Code of Civil Procedure § 437c, subd. (c), requires the trial judge to grant summary judgment if all the evidence submitted, and all "inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

"On a motion for summary judgment, the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (Scalf v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) "In moving for summary judgment, a 'plaintiff… has met' his 'burden of showing that there is no defense to a cause of action if he 'has proved each element of the cause of action entitling' him 'to judgment on that cause of action.'" (Aguilar, 25 Cal.4th at 849 (as modified (July 11, 2001).) The plaintiff "must present evidence that would require a reasonable trier of fact to find any underlying material fact more likely than not – otherwise, he would not be entitled to judgment as a matter of law but would have to present his evidence to a trier of fact." (Id., at 851, original italics.)

Plaintiff argues that summary judgment is proper because there are no material facts in dispute and that they would prevail under either breach of written contract, or alternatively, breach of implied contract. Both theories are based on the same allegations.

To prevail on a breach of contract claim, Plaintiff must prove (1) the contract's existence, (2) Plaintiff's performance or excuse of nonperformance, (3) Defendant's breach, and (4) resulting damage. (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) Contracts can be created by the conduct of the parties. Contracts created by conduct are just as valid as contracts formed with words. Conduct will create a contract if the conduct of both parties is intentional and each knows, or has reason to know, that the other party will interpret the conduct as an agreement to enter into a contract. (Cal. Civil Code § 1621; Unilab Corp. v. Angeles-IPA (2016) 244 Cal.App.4th 622; Marvin v. Marvin (1976) 18 Cal.3d 660; Division of Labor Law Enforcement v. Transpacific Transportation Co. (1977) 69 Cal.App.3d 268.)

Plaintiff offers the following evidence to establish the elements for breach of contract:

.

Defendant applied for and was issued a Wells Fargo credit card (“Subject Account”) ending in 1076. (UMF No. 1.)

.

Plaintiff sent Defendant the credit card along with the written Customer Agreement associated with the credit card. (UMF No. 2.)

.

Defendant accepted the terms of the written agreement when they used the Wells Fargo Credit Card. (UMF No. 3.)

.

Pursuant to the terms of the Customer Agreement associated with the card, Plaintiff would extend credit to Defendant whereby Defendant could charge goods, services, or obtain cash advances on the credit line. (UMF No. 4.)

.

In exchange, Defendant was to repay the principal amount lent plus applicable interest and finance charges. (UMF No. 5.)

.

In accordance with the Customer Agreement, Defendant used the account, and made payments, charges, and incurred a balance thereon. (UMF No. 6.)

.

Plaintiff sent Defendant monthly statements of the Subject Account each and every billing period. (UMF No. 7.)

.

The statements of the account reflected all charges, payments, minimum payment due that billing period, and any fees and interest incurred for each billing period. (UMF No. 8.)

.

There was no record any unresolved disputes on the account. (UMF No. 9.)

.

There was no record of any active lawsuits against Wells Fargo Bank, N.A. for unresolved disputes on this credit card account. (UMF No. 10.)

.

Defendant’s last payment on the Subject Account was on May 3, 2024. (UMF No. 11.)

.

Thereafter, no further payments were made by Defendant and therefore, pursuant to the terms of the Customer Agreement, Defendant was in default. (UMF No. 12.)

.

The balance due on Defendant’s Subject Account is $13,448.43. (UMF No. 13.)

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As a result of Defendant’s unpaid balance, Plaintiff has been damaged in the sum of $13,448.43. (UMF No. 14.)

Code of Civ. Proc. § 437c(b) requires the opposition papers to include “a separate statement that responds to each of the material facts contended by the moving party to be undisputed, indicating if the opposing party agrees or disagrees that those facts are undisputed. However, the absence of a separate statement does not preclude the Court from considering the merits of the opposition where the case involves a single, simple issue with minimal evidentiary support. (Gilbertson v. Osman (1986) 185 Cal.App.3d 308, 315-16 (disapproved on other grounds in Woods v. Young (1991) 53 Cal.3d 315). A sole declaration of a party opposing a summary judgment motion which raises a triable issue of fact is sufficient to deny the motion. (Estate of Housley (1997) 56 Cal.App.4th 342, 359.)

Here, Plaintiff met its initial burden of establishing all elements in support of its breach of contract, written and implied-in-fact, claims.

The burden shifts.

Once the initial movant's burden is met, then the burden shifts to the opposing party to show, with admissible evidence, that there is a triable issue requiring the weighing procedures of trial. (Code of Civ. Proc. § 437c(p).) The opposing party may not simply rely on their allegations to show a triable issue but must present evidentiary facts that are substantial in nature and rise beyond mere speculation. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 162.)

In opposition, Defendant argues that summary judgment should be denied because there are triable issues regarding the nature and existence of a contract, the terms of the contract, the enforceability of the terms, and the amount of damages. Defendant did not file a Response to Plaintiff's Separate Statement of Undisputed Material Facts. Rather, Defendant filed their own Separate Statement of Disputed Material Facts ("DMF").

Defendant offers the following evidence:

.

Defendant does not currently possess, and he believes that at no time did Declarant ever execute or receive, a copy of the alleged agreement in this matter. (Alcaraz Decl., par. 3.)

.

After a diligent review of his records on the subject of this litigation, Declarant states that he does not have, and he believes he never received from Plaintiff, any Federal Truth in Lending (TILA) disclosures setting forth the finance charges, interest rates, annual percentage of interest, for either the initial alleged agreement period for the subject credit card or any subsequent modifications. (Alcaraz Decl., par. 4.)

The Court notes that Defendant's Separate Statement of Disputed Material Facts and the Declaration of Anthony U Alcaraz do not deny past possession and/or use of the credit card in question, that this is Defendant's debt, and do not deny the amount of damages. The Court also notes that Defendant admitted Plaintiff's Request for Admission No. 3: "You or those authorized by

you were the only people who used your Wells Fargo Credit Card ending in 1076 to make charges." Defendant admitted
Plaintiff's Request for Admission No. 5: "Admit that You never disputed the accuracy of any of the monthly billing statements for your Wells Fargo Credit Card ending in 1076." As to Plaintiff's
Request for Admission No. 4: "Admit that You received monthly statements from Wells Fargo for your Wells Fargo Credit Card ending in 1076", Defendant responded, "Defendant admits that Defendant received statements but lacks sufficient information to admit or deny how often they were received." (Declaration of Edgar B. Lopez.)

Defendant has failed to meet their burden to establish that a triable issue of fact exists.

Accordingly, Plaintiff's Motion for Summary Judgment against Defendant Anthony U Alcaraz is GRANTED.

The Court orders judgment in favor of Plaintiff for the principal sum of $13,448.43 and $960.00 for court costs, for a total judgment of $14,408.43.